

14-1a The Meaning of Competition

A

competitive market (a market with many buyers and sellers trading identical products so that each buyer and seller is a price taker)

, sometimes called a *perfectly competitive market*, has two characteristics:

- There are many buyers and many sellers in the market.
- The goods offered by the various sellers are largely the same.

As a result of these conditions, the actions of any single buyer or seller in the market have a negligible impact on the market price. Each buyer and seller takes the market price as given.

As an example, consider the market for milk. No single consumer of milk can influence the price of milk because each buys a small amount relative to the size of the market. Similarly, each dairy farmer has limited control over the price because many other sellers are offering milk that is essentially identical. Because each seller can sell all he wants at the going price, he has little reason to charge less, and if he charges more, buyers will go elsewhere. Buyers and sellers in competitive markets must accept the price the market determines and, therefore, are said to be *price takers*.

In addition to the previous two conditions for competition, a third condition is sometimes thought to characterize perfectly competitive markets:

- Firms can freely enter or exit the market.

If, for instance, anyone can start a dairy farm and any existing dairy farmer can leave the dairy business, then the dairy industry satisfies this condition. Much of the analysis of competitive firms does not require the assumption of free entry and exit because this condition is not necessary for firms to be price takers. Yet, as we see later in this chapter, when there is free entry and exit in a competitive market, it is a powerful force shaping the long-run equilibrium.